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Financial instruments Impairment under IFRS 9

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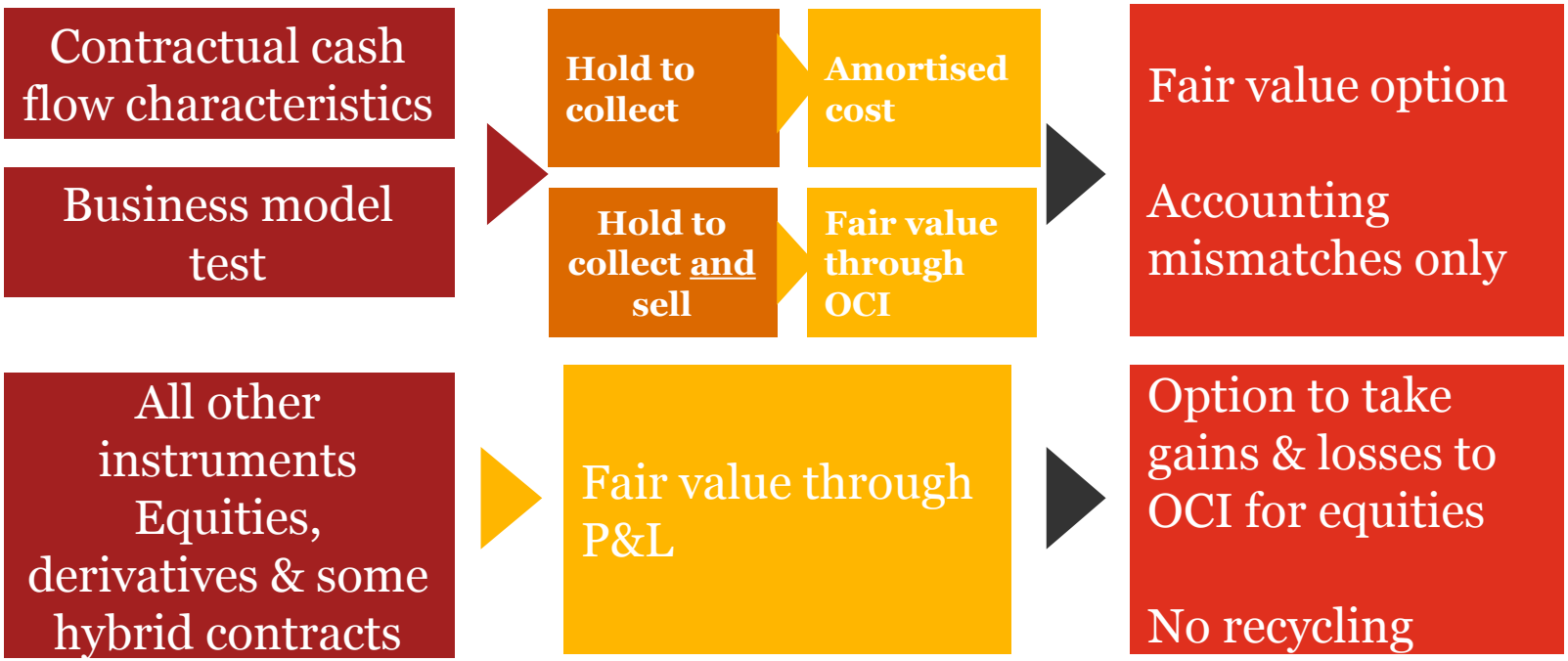
Financial assets – new model summary



No bifurcation

Reclassification required where business model changes

Impairment

Incurred loss model

- Currently used by IAS 39
- Credit losses are recognised only if an event has occurred that has a negative effect on future cash flows & that effect can be reliably estimated
- An entity is not permitted to consider the effects of future expected losses

The challenge

- 'Financial meltdown'
- 'Too big to fail'
- 'Cliff effect'
- 'Risk taking'
- 'Unrealised v realised profits'
- 'Complex disclosures'
- 'G20, Governments and politics'
- 'Bonus culture'

Expected loss model

- Proposed way forwards
- Requires an entity to make an ongoing assessment of expected credit losses
- Will require earlier recognition of credit losses in many cases

Concerns from philosophy and psychology (!)

Optimism/pessimism paradigm

- How do we feel v supportable estimation modelling
- Use of judgement
- Media impact - an understand (ability) problem

Game theory

- Jump before they jump to market lead?

International experience

With full implementation from 2018 the 'factual' data on the experiences of banks is inconsistent

Unsurprisingly the larger banks are better prepared than smaller banks at this stage in the process

The debate continues about the relationship between regulatory capital requirements and IFRS 9 expected loss model…

…and even whether IFRS 9 is a good or bad thing for the capital markets…

…Corporates are concerned about the implications on price of the banks being required to suffer losses

Impact on impairment losses – fear or reality?

IASB fieldwork in 2013:
Expectation of an increase of 25-60% on portfolios excluding mortgages and an increase of 30-250% on mortgages (caveat – only 15 banks from around the world responded!)

2014 survey of 54 major banks including 11 of the 17 GISIFIs reporting under IFRS:
Expected increase in recognition of impairment losses of around 50% as a result to expected loss model

Impact on impairment losses – fear or reality?

ft.com/frontpage UK All times are London time

FINANCIAL TIMES

September 1, 2015 5:38 pm

Banks to face €61.5bn hit from new accounting rules, says report

Harriet Agnew and Laura Noonan

Analysts at Barclays have calculated how 27 of Europe's biggest banks would fare under new global rules governing how much lenders should set aside for potential bad loans.
They found that the rules would trigger an increase of about 34 per cent in loan loss provisions across the group, as well as lower bank valuations and more volatile earnings".

"Spain's Caixa, Italy's UBI and the UK's Standard Chartered are the most affected by the change in the IFRS 9 rules. Caixa's common equity tier one ratio would fall by about 1.7 per cent as a result of the higher loan losses triggered by the rules, Barclays said, while Standard Chartered's
and UBI's would fall by about 1.3 per cent."

Impact on impairment losses – fear or reality?

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2014 survey of 54 major banks including 11 of the 17 GISIFIs reporting under IFRS:
Expected increase in recognition of impairment losses of around 50% as a result to expected loss model

2016 survey of 91 major banks including 14 of the 17 GISIFIs reporting under IFRS:
Expected increase in recognition of impairment losses of up to 25% as a result of adopting IFRS 9 ECL model

New impairment model: scope

Scope

The new model should be applied to:

- Investments in debt instruments measured at amortised cost;
- Investments in debt instruments measured at fair value through other comprehensive income (FVOCI);
- All loan commitments not measured at fair value through profit or loss;
- Financial guarantee contracts to which IFRS 9 is applied and that are not accounted for at fair value through profit or loss; and
- Lease receivables that are within the scope of IAS 17, Leases, and trade receivables or contract assets within the scope of IFRS 15 that give rise to an unconditional right to consideration2.

Scope exclusions

Financial assets credit impaired on initial recognition

- Includes both originated and purchased credit-impaired assets
- Outside of scope of the above model
- Use credit adjusted effective interest rate
- No day 1 allowance balance
- No day 1 impairment loss recognised
- Allowance balance represents *changes* in lifetime loss expectations
- Consistent with IAS 39 (AG5)

Trade receivables without a significant financing component

- Practical expedient to enable entities to calculate losses using certain current practices eg, group receivables by age and applying historical loss rates
- Implied application to non-financial services entities
- Recognition of full lifetime expected loss on a matrix model basis

Use of a provision matrix

IFRS 9 includes the following example of how to estimate ECL when the trade receivables exception applies:

A non-financial institution holds trade receivables that do not have a significant financing component. In order to determine the amount of ECL to be recognised in the financial statements, it has set up a provision matrix based on its historical observed default rates which is adjusted for forward-looking estimates and establishes that ECL should be calculated as:

- non-past due: 0.3% of carrying value
- 30 days past due: 1.6% of carrying value
- 31-60 days past due: 3.6% of carrying value
- 61-90 days past due: 6.6% of carrying value
- more than 90 days past due: 10.6% of carrying value

The standard allows for a provision matrix to be used for *recognising ECL on trade receivables. An entity needs to use its historical credit loss experience and more* forward-looking information in order to establish the loss rates.

Low credit risk

If the credit risk is determined to be low at the reporting date

- Impairment can be measured using 12-month ECL
- Presumption that no significant increase in credit risk has occurred

There is a low risk of default

Borrower has strong capacity to meet obligations in the short term

Adverse changes in economic or business conditions in the longer term wont necessarily reduce ability to fulfil obligations

- Risk is evaluated without consideration of collateral
- Not considered low risk just through comparison to entity's other instruments or the jurisdiction in which the entity operates
- Internal ratings are permitted providing consistent with a global rating definition of 'investment grade'
- If no longer 'low risk' it does not automatically move to Stage 2

Expected credit losses
General model

Change in credit quality since initial recognition

	Stage 1	Stage 2	Stage 3
Recognition of expected credit losses	12 month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses
Interest revenue	Effective interest on gross carrying amount	Effective interest on gross carrying amount	Effective interest on amortised cost carrying amount (i.e. net of credit allowance)
	Performing (Initial recognition*)	*Underperforming* (Assets with significant increase in credit risk since initial recognition*)	*Non-performing* (Credit impaired assets)

**Except for purchased or originated credit impaired assets*

Stage 1 – clarity

An entity calculates '12 month expected credit losses' by multiplying the probability of a default occurring in the next 12 months by the total lifetime credit losses that would result from that default

They are NOT the expected cash shortfalls over the next twelve months

They are NOT the credit losses on instruments that are forecast to default in the next twelve months.

- If they are identified as such then they would either be stage 2 or 3 or would have been credit impaired on initial recognition

Stages 2 and 3 - clarity

Stages 2 and 3 require lifetime expected credit losses to be recognised

Stage 2 – no objective evidence of impairment and with interest revenue based on gross amount

- Viewed as underperforming

Stage 3 – objective evidence of impairment and with interest revenue based on the net amount

- Viewed as non-performing

Moving between stages - clarity

Moving from stage 1 to stage 2 or 3

- Significant deterioration in the credit quality since initial recognition considering the term of the asset and the original credit quality
- If above 'investment grade', credit risk determination is not required
- 'Simplification' of initial approach but judgement still required

Moving from stage 2 or 3 back to 1

- Permitted
- Originated and purchased non-credit-impaired would be moved back up when the downward transfer notion is no longer satisfied

Significant increase in credit risk

- Change in the risk of a default occurring over the expected life
- Compare risk of default at reporting date to risk of default at initial recognition date
- If a probability of default method is used then it should be lifetime PD but a 12-month PD can be used if not expected to give a different result
  - Consider payment obligation profile, payment holidays, credit related factors which only impact beyond 12 months
- Ignore impact of collateral when making assessment of increasing risk
  - However, include for calculation of loss

Example – 12 month v lifetime PD

An entity acquires a portfolio of bullet repayment loans with an average 12-month PD of 0.5% for the portfolio.

As the loans only have significant repayment obligations beyond 12 months changes in the 12-month PD would not be appropriate to determine whether there has been a significant change in credit risk since initial recognition

Therefore, no deterioration in credit risk identified so the 12-month ECL is recognised

Expected credit losses
General model

Regulatory PD vs IFRS 9 PD

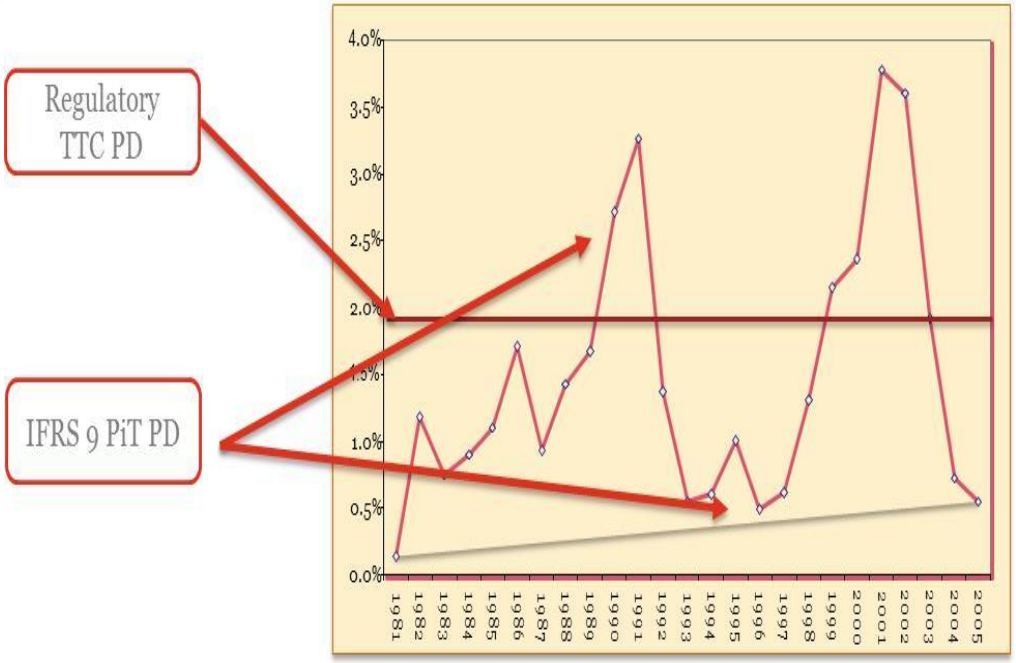
Regulatory PD

Through the cycle ('TTC')

IFRS 9 PD

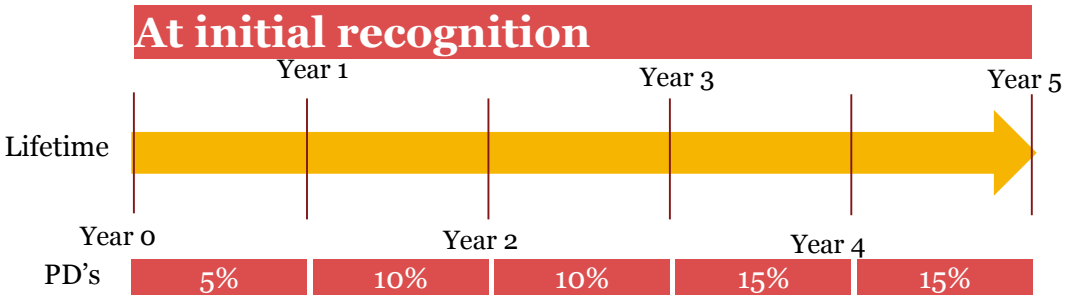
Point in time ('PiT')

Hard to reconcile both!



Understanding the relative credit quality assessment

To identify the deterioration in credit quality since initial recognition the following analysis of Probability of Default (PD) is relevant:

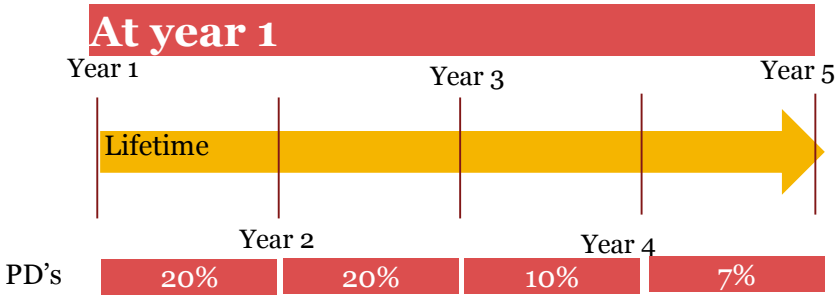


12-month PD = 5%

Lifetime PD (Year 0)= 11%

Lifetime PD (Year 1) = 12%

Relative Comparison of lifetime PD's for the same period.



12-month PD (Year 1) = 20%

Lifetime PD (Year 1) = 15%

Significant increase in credit risk

The following indicators were identified:

- Change in internal price indicators of credit risk
  - Change in credit spread, rates, terms, collateral, guarantees or covenants if issued now
- Changes in market indicators of credit risk
  - Change in credit spread, credit default swap price, fair values below amortised cost value, changes in the prices of borrowers other instruments
- Change in externally or internally derived credit rating of borrower
- Change in general economic or market conditions, regulatory or technology environment of the borrower
- Change in actual or expected performance of the borrower
- Values of underlying collateral
- Changes in guarantee quality
- Change in the loan documentation
- Change in credit risk management

Significant increase in credit risk

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- Change in internal price indicator of credit
  - Change in credi spread, rates, t arantee r covenants if issued now
- Changes in market
  - Change in credit amortised cost value, chang
- Change in exte orrower
- Chan latory or technology environm
- Change in a borrower
- Values of underly
- Changes in guaran quality
- Change in the loan documentation
- Change in credit risk management

Rebuttable Presumption
Credit risk has increased significantly when contractual payments are more than 30 days past due

BUT 31% expect to often rebut

Indications for a significant increase in credit risk

One missed payment is most likely trigger with more than 30 days late indicating significant increase in credit risk

Change in PD is next most likely trigger with relative change in PD being used rather than absolute change

Other triggers include management review committee thresholds exceeded and changes in the economic return

Assessing increases in credit risk based on PD

Bank issues five year asset backed loan with a 12-month PD of 0.5% to a sole trader. Bank holds first charge security over assets

Recession means that borrower is in difficulty due to economic environment and in addition the area the business is subject to new regulations which will increase costs. As a result, whilst there has been no missed payments so far, the free cash flows of this individual will barely cover the finance.

- Cannot simply use a Loss Given Default (LGD) model as no default has occurred and no payments missed
- Must use macroeconomic factors and client specific factors
- Loan is not considered low risk so assessment of increase in credit risk needs to be done – irrespective of collateral
- Significant increase in credit risk so lifetime credit losses should be recognised
  - When calculating ECL the recoverable value of the collateral should be reflected

Significant increase in credit risk

Assessment can be performed at the individual instrument or collective level

- Management may not have access to reasonable and supportable information available without undue cost or effort on an individual basis
  - Retail loans typically can only be assessed at the individual instrument level once an individual is in default so it is more appropriate to assess as a portfolio
  - Recognition of losses only on default is significantly after changes in credit risk have occurred
- Group on the basis of shared credit risk characteristics using, in many ways, the list on the previous slide
- Cannot avoid loss recognition by choosing the level of assessment which gives the most favourable result

Individual and portfolio assessments

Portfolio level assessment can be done by grouping instruments on the basis of shared risk characteristics

Examples of shared risk characteristics are:

- Intstrument type
- Credit risk ratings
- Collateral type
- Date of origination
- Remaining term
- Industry
- Geographical location
- Loan to value (if it has an impact on the probability of default occurring)

Individual and portfolio assessments

Alpha Bank provides mortgages for housing in three different regions.

Approval for finance is only given after assessing credit scores with all those above the 'acceptance level' approved

The same credit score is then used to determine the level of risk of a default occurring as at initial recognition

In Region One, Alpha assesses each of its loans on a monthly basis through an automated behavioural scoring process based on historical past due statuses, indebtedness, loan-to-value measures, customer behaviour on other Alpha Bank products, loan size and time since origination of the loan

As a result, individual customers are identified as higher risk before a payment is missed

If increase in credit risk is significant then lifetime ECL is recognised, otherwise 12-month ECL is recognised

Individual and portfolio assessments

In Regions Two and Three there is no automated scoring capability. Alpha Bank tracks the risk of default by means of a 'past-due' status model. Lifetime ECL is recognised for all past-due statuses in excess of 30 days. In addition, other supportable and reasonable forward-looking information is used to assess whether lifetime losses should be recognised on non 30-days-past-due

Region Two is a mining community heavily reliant on the export of coal which is significantly in long-term decline. It is expected that many coal mines will close as a result. The risk of default for individuals in areas reliant on coal mines has, therefore, significantly increased.

Alpha Bank segments its portfolio by the industry employing its customers and identifies those that rely on coal mining for a dominant portion of income.

Lifetime ECL is recognised for such mortgages whilst 12-month ECL is recognised for other mortgages in Region Two

Worth noting though, new mortgages in coal dependent areas would fall into the 12-month ECL group as they would not have experienced an increase in credit risk since initial recognition

Region Three customers are assessed based on changes in interest rates as historically increases in interest rates has been a lead indicator of future defaults in this region, particularly for variable interest rate mortgages.

Alpha Bank determines that the VIR portfolio is homogenous and that sub categories of shared risk characteristics cannot be identified.

An assessment is made of a proportion of the overall portfolio that has significantly increased in credit risk.

An increase of 200 basis points will cause a significant increase in credit risk for 20% of the VIR portfolio

Lifetime ECL is recognised on 20% of the VIR portfolio

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- An entity should measure in a way that reflects:
  - An unbiased and probability weighted amount that is determined by evaluating a range of possible outcomes;
  - The time value of money; and
  - Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions

Estimating expected credit losses – FVOCI

An entity purchases a debt instrument with a fair value of CU1,000 on 15 December 20X0 and measures the debt instrument at fair value through other comprehensive income. The instrument has an interest rate of 5% over the contractual term of 10 years, and has a 5% effective interest rate. At initial recognition, the entity determines that the asset is not a purchased or originated credit-impaired asset.

	Debit	*Credit*
Financial asset – FVOCCI	*CU 1,000*	
Cash		*CU 1,000*

Estimating expected credit losses – FVOCI

On 31 December 20X0 (the reporting date), the fair value of the debt instrument has decreased to CU950 as a result of changes in market interest rates. The entity determines that there has not been a significant increase in credit risk since initial recognition and that ECL should be measured at an amount equal to 12-month ECL, which amounts to CU30. For simplicity, journal entries for the receipt of interest revenue are not provided.

	Debit	Credit
Impairment expenses (P&L)	CU 30	
Other Comprehensive income	CU 20	
Financial asset – FVOCI		CU 50

The cumulative loss in other comprehensive income at the reporting date was CU20. That amount consists of the total fair value change of CU50 (that is, CU1,000 – CU950) offset by the change in the accumulated impairment amount representing 12-month expected credit losses that was recognised (CU30).

Estimating expected credit losses – FVOCI

On 1 January 20X1, the entity decides to sell the debt instrument for CU950, which is its fair value at that date.

	Debit	Credit
Cash	CU 950	
Financial asset – FVOCI		CU 950
Loss on sale (P&L)	CU 20	
Other comprehensive income		CU 20

When calculating ECL on financial assets classified in the FVOCI category, movements in the ECL provision will impact P&L. Under the model, impairment charges in P&L will always occur earlier as compared to current IAS 39 guidance, and this is no different for financial assets classified in the FVOCI category.

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- For financial assets a cash shortfall is the difference between the cash flows that are contractually due to an entity and the cash flows that the entity expects to receive
- For undrawn loan commitments presume that the loan is drawn down
  - The estimate of credit losses should be consistent with the expectations of draw downs in respect of 12 month or lifetime losses

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- Collateral
  - The estimate of cash shortfalls should reflect the cash flows expected from collateral and other credit enhancements that are part of the contractual terms
  - This includes the cash flows expected on foreclosure less the costs of obtaining and selling the collateral (irrespective of whether foreclosure is probable)
  - Any collateral obtained as a result of foreclosure is not recognised as an asset that is separate from the financial instrument unless it separately meets the recognition criteria for such an asset

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- The maximum period to consider is the maximum contractual period over which the entity is exposed to credit risk
- When both a loan and undrawn commitment component exist the credit risk exposure is not limited to the contractual ability to withdraw the facility and demand repayment (such as overdrafts and credit cards)
  - Period to consider in these cases is the period that the entity is exposed and not mitigated by credit risk management actions

Revolving credit facilities

Beta Bank provides co-branded credit cards to a professional accountancy body. The cards have a one-day notice period after which Beta Bank has the contractual right to cancel the card (both drawn and undrawn components)

Beta Bank does not enforce its contractual right in the normal day-to-day management of the instruments and only cancels facilities once aware of increased credit risk and commencement of monitoring of individuals.

Beta Bank does not consider the contractual right to cancel as the limit to its exposure to credit losses. Beta Bank considers that there is only one set of contractual cash flows from customers to assess and does not distinguish between drawn and undrawn balances at the reporting date. Portfolio management and assessment of expected credit losses are done on a facility level

At the reporting date the outstanding balance is £60,000 and the undrawn facility is £40,000

Beta Bank estimate the period it expects to be exposed based on:

- The period it was exposed on similar portfolios of credit cards
- The length of time for related defaults to occur on similar instruments
- Past events that led to credit risk management actions because of an increase in credit risk on similar instruments

Let us presume this analysis gives an exposure period as 30 months

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Let us presume this analysis gives an exposure period as 30 months

At the reporting date, Beta Bank assesses the change in credit risk on the portfolio and determines that the credit risk on a portion of the credit card facilities representing 25% of the portfolio has significantly increased since initial recognition.

The outstanding balance on these cards totals £20,000 and undrawn facility is £10,000. Lifetime ECL should be recognised for these facilities.

Beta bank estimates the level of draw downs over the exposure period (30 months) and thus what the outstanding balance would be if customers were to default.

By using credit risk models, Beta Bank estimates the exposure for lifetime ECL at default should be £25,000 (£20,000 drawn balance plus £5,000 additionally drawn funds expected)

The exposure for 12-month ECL is recognised on £45,000 (£40,000 drawn balance plus £5,000 expected to be drawn over the next 12 months

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Beta Bank measures expected credit losses on facility level and cannot therefore identify those losses on the undrawn element separately from the drawn down loan element.

If the expected loss exceeds the gross carrying amount of the financial asset, the expected credit losses should be presented as a provision

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- Neither best nor worst case scenario
- No requirement to consider every possible outcome
- In many cases the IASB suggest that complex modelling will not be required
  - For example the use of average credit losses on similar instruments
  - In more complex scenarios modelling should consider at least two outcomes (loss occurring and no loss occurring)
  - In practice, modelling is likely to move towards the complex approaches needed to satisfy auditors and investors

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- For lifetime expected losses the risk of default over the lifetime should be considered
- 12-month expected losses is a portion of lifetime expected losses
  - Lifetime losses resulting from a default within 12 months
  - Probability of a default within 12 months

Measurement of expected credit losses

Expected credit losses are a probability weighted estimate of the present value of all cash shortfalls discounted at the original effective interest rate over the expected life of the financial instrument

- If the instrument has a variable interest rate the current effective interest rate is used to discount
- For purchased or originated credit-impaired financial assets the credit-adjusted effective rate determined at initial recognition should be applied

Estimating expected credit losses: PD approach

Charlie Bank originates a single 10-year amortising loan for £1m with an estimation that at initial recognition there is a 12-month PD of 0.5%

At the reporting date, there has been no significant change in the 12-month PD and it is determined that there has been no significant increase in credit risk

Charlie Bank determines that 25% of the gross carrying amount will be lost if the loan defaults (LGD = 25%)

Charlie Bank measures the loss allowance at 12-month ECL

Loss allowance is calculated as **£1,250**

(0.5% x 25% x £1,000,000)

Delta Bank owns a portfolio of 1,000 five-year bullet loans for £1,000 each with a 12-month PD of 0.5%. As in the earlier example, lifetime PD will be used to assess whether there has been a significant increase in credit risk

Delta Bank determines that there has been no significant increase in credit risk since initial recognition and estimates the LGD is 25%.

Delta Bank measures the loss allowance on a collective basis. The 12-month PD remains at 0.5%

Delta Bank measures the loss allowance at 12-month ECL

Loss allowance is calculated as **£1,250**

(0.5% x 25% x £1,000,000)

Estimating expected credit losses: loss rate approach

Epsilon Bank originates 2,000 bullet loans for £500,000.

The portfolio is segmented into borrower groups X and Y on the basis of shared credit risk characteristics at initial recognition

Group X comprises 1,000 loans with gross carrying amount of £200 per loan

Group Y comprises 1,000 loans with gross carrying amount of £300

There are no transaction costs, options or other fees

Epsilon Bank uses a loss rate approach to determine expected credit losses

Rates are determined using forward looking information utilising updated historical information

Historically, for a population of 1,000 loans in each group, Group X loss rates are based on four defaults and Group Y loss rates are based on 2 defaults

$$\frac{PV(4 \times £200)}{(1{,}000 \times £200)} = \frac{(\text{assume})\ £600}{£200{,}000} = 0.3\%$$

$$\frac{PV(2 \times £300)}{(1{,}000 \times £300)} = \frac{(\text{assume})\ £450}{£300{,}000} = 0.15\%$$

Estimating expected credit losses: loss rate approach

Epsilon Bank expects at the reporting date for there to be an increase in defaults over the next 12 months compared to the historical rate.

Epsilon Bank now estimates that there will be five defaults in Group X and three in Group Y. It estimates that the present value of observed loss per client will remain the same as in the historical model

However, Epsilon does not believe that this constitutes a significant deterioration of credit risk and continues to recognise 12-month expected credit losses on the portfolio

Epsilon Bank measures the losses at an amount equal to 12-month expected credit losses for each group amounting to and respectively

This equates to a loss rate for each group of and respectively which would be used for new loans originated during the year and for which credit risk has not increased significantly

$$\frac{PV(5 \times £200)}{(1{,}000 \times £200)} = \frac{\text{(assume) } £750}{£200{,}000} = 0.375\% \qquad \frac{PV(3 \times £300)}{(1{,}000 \times £300)} = \frac{\text{(assume) } £675}{£300{,}000} = 0.225\%$$

Expected credit losses
Disclosures

Quantitative

- Reconciliation of opening to closing amounts of loss allowance showing key drivers of change
- Write off, recovers and modifications
- Reconciliation of opening to closing amounts of gross carrying amounts showing key drivers of change
- Gross carrying amounts per credit risk grade

Qualitative

- Inputs, assumptions and estimation techniques for estimating ECL
- Write off policies, modification policies and collateral
- Inputs, assumptions and estimation techniques to determine significant increases in credit risk and default
- Inputs, assumptions and techniques to determine credit impaired

Key impact areas

Banks have been generally slow in reacting to assess the impact of IFRS 9 and are really up against time. However, majority of the banks have started to conduct impact assessment studies which will form the basis of detailed implementation strategy. Following are some of the areas where we see banks facing challenges to apply IFRS 9 ECL requirements:

Quality of data	Developing PD/LGD models	Accounting judgment
• IFRS 9 ECL requirements require significant historical and current data. • We have seen significant issues in data quality.	• Banks will need to develop afresh PD and LGD models. This is time consuming and full of judgment.	• IFRS 9 is a principles based standard. • Banks generally underestimating the level of complexity involved… but slowly waking up to it

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Aligning risk and finance	Interaction with regulatory requirements	Regulators will need to amend approach
• Risk data will feed directly into accounting records. • Accounting requirements will impact PD/LGD blue prints.	• Banks will need clarity from banking regulators as to how IFRS 9 will be interpreted as part of regulatory reporting.	• Banking regulators will find themselves looking for a new approach to regulatory provision.

Key challenges

Parallel running

- Due to the slow response banks will not have the time to test IFRS 9 systems before ‘go live’ date.

System selection

- Banks will require some system capabilities to implement the changes.
- In our experience, this aspect has not been thought through yet.

Finance and Risk

- Still tendency with some banks that one or the other department dominates projects.
- Both departments need to work together and align approaches.

Impairment of financial assets

Summary of impact on corporates!

- Minimal impact on short term receivables given their short term nature.
- Provision matrix can be applied to measure the loss allowance for short term receivables. However forward looking information must be considered.
- Lease receivables, trade receivables or contract assets recognised under IFRS 15 which contain a significant financing component can be measured using either the simplified or general model.
- Challenge to apply the general model to assets not in the scope of the operational simplifications (eg debt securities) as need to assess when/if there has been significant increase in credit risk and measure lifetime ECL's

And in other news…

70% of banks believe that there will be a reduction of up to 50 bps in core tier 1 capital ratio with the vast majority unsure as to how regulators will incorporate IFRS 9 numbers into regulatory capital

Price makers expect that adopting an ECL model will impact product pricing whilst price takers believe that it is unlikely to have an impact on price

Availability of the origination lifetime PD is the biggest data concern

Half of all banks believe they have insufficient technical resources

Half of all banks do not plan to disclose quantitative data before 2018

75% of IFRS 9 programme budgets are as yet unspent

Transition

When does IFRS 9 become mandatory?

- Annual periods beginning on or after 1 January 2018
- Early adoption permitted but
  - Cannot early adopt earlier editions of IFRS 9 (since 1 February 2015)
- Full retrospective application on adoption but
  - Restatement of comparatives is not required but is permitted if it can be done without the benefit of hindsight
  - If comparatives are not restated the opening balance of its retained earnings should be adjusted

Transition

When does IFRS 9 become mandatory?

- Operational simplifications exist to ease retrospective application
  - Applied at the date of initial application which must be the beginning of a reporting period after the standard is issued
  - Due to phased implementation, this could result in more than one date of initial application
- Entities that have applied IFRS 9 (2009), IFRS 9 (2010) or IFRS 9 (2013) early
  - Apply transition rules at relevant date of initial application
    - However the transitional provisions can only be applied once
  - Ability to review designations of financial assets and liabilities to FVTPL

Transition - impairment

- Impairment related transitional rules
  - Sufficient to allow a reconciliation between closing IAS39/IAS37 provisions and opening IFRS 9 loss allowances
- Use of reasonable and supportable information available without undue cost or effort to determine credit risk at date of initial recognition. However:

1 - In order to determine whether there has been a significant increase in credit risk since initial recognition, an entity can apply:

Either the low credit risk simplification for instruments deemed to have low credit risk at date of initial application

Or the 'thirty days past due' rebuttable presumption only if management identifies significant increases in credit risk since initial recognition

2 - If determining the credit risk as at the date of initial recognition would require undue cost or effort, the loss allowance should be determined on the basis of whether the credit risk is low at each reporting date to derecognition

Frequently asked questions

Measurement of expected credit losses for drawn and undrawn components of financial assets

Question: *IFRS 9 contains an exception for certain types of financial instruments to measure expected credit losses over the period that the entity is exposed to credit risk, even if that period extends beyond the contractual period. The exception applies to some financial instruments that include both a loan and an undrawn commitment. This seems to indicate that, in order for the exception to apply, a facility must have both drawn and undrawn components. However, in many cases, at any point in time, a facility might only have an undrawn component, such as a credit card facility. Is it necessary for the financial instrument to have both drawn and undrawn components at the measurement date for the exception in IFRS 9 to apply?*

Answer: *No. The rationale for the exception, as expressed in paragraph BC5.261 of IFRS 9, is to ensure that sufficient loss allowance is established for contracts where the entity's contractual ability to demand repayment and cancel the undrawn commitment does not limit the entity's exposure to credit losses to the contractual notice period.*

A financial instrument might have a nil drawn-down balance at the reporting date. However, expected credit losses should still be recognised in the same way as they would be for an undrawn loan commitment. For example, a credit card which has been originated just before reporting date, but is yet to be used, will require recognition of expected credit losses.

Measurement of expected credit losses over a period

Question: *A bank issues mortgage loans to its customers which have contractual maturities of 12 months. The interest rate is fixed for each 12-month period at the beginning of the period. At maturity, if the borrower and lender do nothing, the loan is automatically rolled over for the following 12 months. The interest rate is reset to the current rate at the roll-over date. In practice, such loans roll over many times and can last for many years.*

What is the period the bank should consider in measuring expected credit losses under IFRS 9 for such mortgage loans?

Answer: *IFRS 9 clearly states that 'the maximum period to consider when measuring expected credit losses is the maximum contractual period (including extension options) over which the entity is exposed to credit risk and not a longer period, even if that longer period is consistent with business practice'.*

Therefore, the period that the bank considers for measuring expected credit losses is the remaining period up to the 12 months to contractual maturity. The bank's credit exposure is limited to a maximum of 12 months as, after that period, the bank can cancel the loan at its discretion. Although, in practice, the loans are rolled over for many years, the only matter of relevance is the contractual period over which the lender is exposed to credit risk.

Impairment accounting for purchased debt instruments in the case of a business combination

Question : *An entity acquires a business and applies IFRS 3, 'Business combination accounting'. The business being purchased has a number of loans that will be measured at amortised cost by the acquirer.*

Given that IFRS 3 requires the loans to be measured at their acquisition date fair values, does the entity need to recognise under IFRS 9, a separate impairment loss provision on the loans at acquisition?

Answer: *Yes, the entity needs to recognise a separate impairment loss provision for the loans under IFRS 9, after accounting first for the acquisition under IFRS 3. Paragraph C7.B41 of IFRS 9 has amended IFRS 3 .This means that the IFRS 9 provision should not affect the measurement of goodwill. However, no exception is provided to the general principles of IFRS 9 and IFRS 3:*

- *Goodwill is measured at the acquisition date as the excess of the consideration transferred and the fair value of the identifiable assets and liabilities.*
- *As part of this, the loans are initially recorded at their fair value and are classified at amortised cost before any IFRS 9 provision is made.*

As a result, an entity will recognise an impairment provision the day after the acquisition, so as to account for expected credit losses on the acquired assets in accordance with IFRS 9.

Application of the write-off criteria to impaired assets

Question: *An entity originates a loan of £1,000. The total interest charge over the term of the loan is 20% per annum, payable in quarterly instalments. The borrower has a high credit risk on origination, and the entity expects the borrower to pay late or fail to pay some of the loan instalments.*

Could the loan be considered as originated credit impaired under IFRS 9?

Answer: *It is very unlikely. IFRS 9 defines a financial asset as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. This seems unlikely to have happened in the example above, as the loan has been originated with no such 'event' having occurred.*

IFRS 9 indicates that it would be an unusual circumstance in which a financial asset could be originated as credit-impaired. It provides an example of a substantial modification of a distressed debt that results in derecognition of the original asset. It then explains that the newly originated financial asset might be credit-impaired, as the modification could constitute objective evidence that the new asset is credit-impaired at initial recognition. In the example above, no such modification has occurred.

Application of the write-off criteria to impaired assets

Question: *Before the publication of IFRS 9, neither IAS 39 nor IFRS 7 provided guidance on the criteria for writing off a financial asset (although paragraph B5(d)(ii) of IFRS 7 did require disclosure of an entity's criteria for writing off amounts charged to the allowance account against the carrying amount of impaired financial assets). IFRS 9 introduced a requirement that financial assets are written off once the entity has 'no reasonable expectation of recovering a financial asset' in its entirety or a portion thereof.*

How should the term 'no reasonable expectation of recovering a financial asset' be interpreted?

Question: *The point at which there is 'no reasonable expectation of recovering a financial asset' is a matter of judgement that will depend on the particular facts and circumstances. The table below considers some indicators that might be relevant in making this judgement. These indicators are not exhaustive and do not provide any bright lines, but serve merely as potential considerations in an entity's overall assessment.*

Has the security / collateral been realised?	*Is the entity currently enforcing the debt?*	*The range of expected outcomes*
Status of the debtor (for example, liquidation or sequestration proceedings)	*Number of days past due*	*Number of days since last payment received*

Notes

Has the security/collateral been realised?

To the extent that the security has not yet been realised, one would expect a reasonable expectation of future cash flows to exist based on the collateral's fair value. However, paragraph B5.4.9 of IFRS 9 would suggest that, before realisation of the collateral, if there is no reasonable expectation of cash flows from a portion of the financial asset, that portion should be derecognised. Post realisation of security/collateral, the entity would need to understand its ability and experience in recovering other cash flows in order to determine the amount to be written off.

Is the entity currently enforcing the debt?

The entity ceasing to enforce the debt could be an indicator of write-off. However, a loan could be written off while enforcement activities are continuing, because paragraph 35F(e) of IFRS 7 requires 'information about the policy for financial assets that are written off but still subject to enforcement activity'.

The range of expected outcomes

The wider the range of expected cash flows are, the less likely the entity can assert that it has no reasonable expectation of collecting some or all of the future cash flows.

Notes

Status of the debtor (for example, liquidation or sequestration proceedings)

The entity only expects to receive any cash flows once formal liquidation or other proceedings are finalised. So, although it is already impaired, the entity might be unable to form a reasonable expectation of what the liquidator will pay. However, if it is clear that the debtor has insufficient assets to repay certain assets on liquidation, these might be written off before the liquidation is completed.

Number of days past due

If this is used as an indicator, it will need to be supported by objective evidence regarding the level of recoveries after the point of write-off to demonstrate that there is no reasonable expectation of future cash flows. It is unlikely that a single number of days past due could be used for all portfolios or that this indicator will be sufficient in isolation.

Number of days since last payment received

Similar to the number of days past due above.

Application of the write-off criteria to impaired assets

Question: *Should the term 'no reasonable expectations of recovering a financial asset' be applied at an individual asset level or a portfolio level?*

Answer: *The assessment of whether an entity has 'no reasonable expectations of recovering a financial asset' should be made at the level of individual financial asset or a portfolio of financial assets, depending on the facts and circumstances, taking into account the nature and credit risk characteristics of the financial assets. For example, it might be appropriate to assess retail mortgage loans on a portfolio level, given that they share similar characteristics, whereas it might be appropriate to assess corporate loans at an individual loan level.*

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